聯詠科技股份有限公司
NOVATEK MICROELECTRONICS CORP.

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Novatek Announces 2023 Unaudited Consolidated Financial Result & 2024 First Quarter Outlook:

2023 Revenue & PAT Reached NT$110.43B & NT$23.32B Respectively With EPS of NT$38.32

Hsin-chu, Taiwan, ROC – February 6th, 2024 – Novatek (TSE:3034), a leading global Display IC total solution provider, today announced its unaudited consolidated financial result of 2023 and the first quarter outlook of 2024 at the analyst meeting.

Revenue, operating expense, and operating income of 2023 reached NT$110.43 billion, NT$19.55 billion, and NT$26.66 billion, representing year-over-year increase of 0.43%, 7.35%, and decrease of 18.54% respectively. The gross profit margin of 2023 was 41.85%, down from 46.33% of 2022. Net income of 2023 decreased by 16.63% year-over-year to NT$23.32 billion, with earnings per share of NT$38.32.

The fourth quarter revenue decreased by 6.14% quarter-over-quarter to NT$27.15 billion from NT$28.93 billion in Q3'23, and increased by 21.11% year-over-year from NT$22.42 billion in Q4'22. The sequential revenue decrease was caused by the seasonal weakness and year-end inventory control. Gross margin of 41.48% in 4Q22 decreased from 42.25% in 3Q23, due to lower selling prices, but exceeded the guidance largely due to higher NRE.

The fourth quarter operating expenses decreased quarter-over-quarter to NT$4.96 billion from NT$5.08 billion in Q3'23 and increased year-over-year from NT$3.88 billion in Q4'22. Fourth quarter operating income decreased quarter-over-quarter to NT$6.31 billion from NT$7.14 billion in Q3'23 and increased year-over-year from NT$5.21 billion in Q4'22

Novatek's 2023 Q4 net income was NT$5.33 billion, which decreased quarter-over-quarter by 16.3% from NT$6.37 billion in Q3'23 and increased year-over-year by 31.79% from NT$4.04 billion in Q4'22. Earnings per share for Q4'23 were NT$8.76, compared with NT$6.64 in Q4'22.

Management expects overall performance for the first quarter 2024:
Revenue is expected to be between NT$ 24billion and NT$ 25billion
Gross profit margin is expected to be between 38.5% and 40.5%
Operating profit margin is expected to be between 19.5% and 21.5%

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NOVATEK MICROELECTRONICS CORP.

Sales & Profits

Million NT dollars	4Q'23	QoQ	3Q'23	4Q'22	YoY
Net Sales	27,154	-6.14%	28,930	22,420	21.11%
Net Gross Profit	11,264	-7.85%	12,223	9,090	23.91%
(Margin %)	41.48	-0.77p	42.25	40.55	0.93p
Operating Income	6,306	-11.27%	7,143	5,209	21.06%
Net Income	5,328	-16.30%	6,366	4,043	31.79%
EPS (NT$)	8.76	-1.7	10.46	6.64	2.12

Sales Breakdown by Product

Million NT dollars	4Q'23	QoQ	3Q'23	4Q'22	YoY
SoC	9,598	-13.39%	11,082	7,823	22.69%
Driver IC	17,218	-3.69%	17,877	14,601	17.92%
Total	26,816	-7.40%	28,959	22,424	19.59%

About Novatek

Novatek is a trustworthy partner and a dedicated total solution provider in the Smart Imaging and Smart Display technology. Established in 1997, the company is the world's largest supplier of display related chips and is ranked as the world 8th largest and Taiwan 3rd largest IC fabless design company in terms of sales revenue in 2022 (TW. 3034). For more information, please visit the company's website at www.novatek.com.tw.

Novatek Microelectronics Corp.
Financial Report 2023 Q4



Issued in Feb 2024

Monthly Sales

MNT$

	2023	2022	+ (-) %
January	7,223	12,317	-41%
February	7,641	11,725	-35%
March	9,181	12,470	-26%
April	9,961	12,320	-19%
May	10,225	10,984	-7%
June	10,112	8,158	24%
July	9,675	6,866	41%
August	9,694	6,527	49%
September	9,561	6,171	55%
October	9,526	6,873	39%
November	8,949	7,779	15%
December	8,679	7,769	12%
Total:	110,429	109,957	0%

Monthly Sales

MNT$

	2024	2023	+ (-) %
January	8,720	7,223	**21%**
February		7,641	
March		9,181	
April		9,961	
May		10,225	
June		10,112	
July		9,675	
August		9,694	
September		9,561	
October		9,526	
November		8,949	
December		8,679	
Total:	8,720	110,429	**-92%**
Jan.~Jan.	8,720	7,223	**21%**

Sales Breakdown By Products

MNT$

Product	2023/Q4		2023/Q3		2023/Q2		2023/Q1		2022/Q4	
	AMT	%	AMT	%	AMT	%	AMT	%	AMT	%
SOC	9,598	35	11,082	38	11,059	37	9,400	39	7,823	35
DRIVER	17,218	63	17,877	62	19,327	64	14,508	60	14,601	65
Total:	26,816	99	28,959	100	30,386	100	23,908	99	22,424	100
OTHERS	489	2	78	0	51	0	265	1	98	0
Return & Allowance	(150)	(1)	(107)	(0)	(138)	(0)	(127)	(1)	(102)	(0)
Grand Total:	27,154	100	28,930	100	30,299	100	24,046	100	22,420	100
Growth	-6%		-5%		26%		7%		15%	

Consolidated Income Statement (YoY)

(Expressed In New Taiwan Thousand Dollars)

	2023/1-12	%	2022/1-12	%	Growth %
Net sales	110,428,698	100.00	109,956,674	100.00	**0.43**
Cost of good sold	(64,216,805)	(58.15)	(59,015,487)	(53.67)	8.81
Gross Profit	46,211,893	41.85	50,941,187	46.33	(9.28)
Operating Exp.	(19,550,216)	(17.71)	(18,212,356)	(16.56)	7.35
Selling & Adm.	(2,759,069)	(2.50)	(2,802,115)	(2.55)	(1.54)
R & D Exp.	(16,791,147)	(15.21)	(15,410,241)	(14.01)	8.96
Operating Income	26,661,677	24.14	32,728,831	29.77	(18.54)
Net Non-Operating	1,569,365	1.43	1,782,360	1.62	(11.95)
Income Before Tax	28,231,042	25.57	34,511,191	31.39	(18.20)
Income Tax Exp.	(4,913,533)	(4.45)	(6,541,669)	(5.95)	(24.89)
Net Income	23,317,509	21.12	27,969,522	25.44	**(16.63)**
EPS	**38.32**		**45.96**		

Consolidated Income Statement (Q4 YoY)

(Expressed In New Taiwan Thousand Dollars)

	2023/Q4	%	2022/Q4	%	Growth %
Net sales	27,153,825	100.00	22,420,161	100.00	**21.11**
Cost of good sold	(15,890,226)	(58.52)	(13,329,806)	(59.45)	19.21
Gross Profit	11,263,599	41.48	9,090,355	40.55	23.91
Operating Exp.	(4,957,321)	(18.26)	(3,881,275)	(17.31)	27.72
Selling & Adm.	(678,719)	(2.50)	(630,226)	(2.81)	7.69
R & D Exp.	(4,278,602)	(15.76)	(3,251,049)	(14.50)	31.61
Operating Income	6,306,278	23.22	5,209,080	23.24	21.06
Net Non-Operating	23,747	0.09	(225,332)	(1.01)	(110.54)
Income Before Tax	6,330,025	23.31	4,983,748	22.23	27.01
Income Tax Exp.	(1,002,071)	(3.69)	(940,969)	(4.20)	6.49
Net Income	5,327,954	19.62	4,042,779	18.03	**31.79**
EPS	**8.76**		**6.64**		

Consolidated Income Statement (QoQ)

(Expressed In New Taiwan Thousand Dollars)

	2023/Q4	%	2023/Q3	%	Growth %
Net sales	27,153,825	100.00	28,929,962	100.00	**(6.14)**
Cost of good sold	(15,890,226)	(58.52)	(16,707,294)	(57.75)	(4.89)
Gross Profit	11,263,599	41.48	12,222,668	42.25	(7.85)
Operating Exp.	(4,957,321)	(18.26)	(5,079,563)	(17.56)	(2.41)
Selling & Adm.	(678,719)	(2.50)	(717,106)	(2.48)	(5.35)
R & D Exp.	(4,278,602)	(15.76)	(4,362,457)	(15.08)	(1.92)
Operating Income	6,306,278	23.22	7,143,105	24.69	(11.72)
Net Non-Operating	23,747	0.09	623,583	2.15	(96.19)
Income Before Tax	6,330,025	23.31	7,766,688	26.84	(18.50)
Income Tax Exp.	(1,002,071)	(3.69)	(1,400,867)	(4.84)	(28.47)
Net Income	5,327,954	19.62	6,365,821	22.00	**(16.30)**
EPS	**8.76**		**10.46**		

Financial Numbers

(Expressed In New Taiwan Thousand Dollars)

	2023/12/31	2023/9/30	2023/6/30	2023/3/31	2022/12/31
Cash and Cash Equivalents	53,889,468	45,583,206	63,437,035	56,994,035	49,170,893
Short Term Loans	0	0	0	0	0
Net Cash	53,889,468	45,583,206	63,437,035	56,994,035	49,170,893
QoQ Change	8,306,262	(17,853,829)	6,443,000	7,823,142	9,571,431
Notes & Accounts receivable	16,934,522	20,611,687	20,557,090	16,947,416	15,764,511
QoQ Change	(3,677,165)	54,597	3,609,674	1,182,905	1,792,800
Inventory	8,551,098	9,115,106	10,516,018	10,591,430	12,028,871
QoQ Change	(564,008)	(1,400,912)	(75,412)	(1,437,441)	(5,151,101)